

July 16, 2026 07:55 AM GMT

Zhengzhou Yutong Bus Co | Asia Pacific

Risk Reward Update

WHAT'S CHANGED

Zhengzhou Yutong Bus Co (600066.SS)	From	To
Price Target	Rmb40.20	Rmb36.60
Bull Case	Rmb54.50	Rmb49.60
Base Case	Rmb40.20	Rmb36.60
Bear Case	Rmb20.40	Rmb18.60

Updated Components

EPS
Bull Base Bear Scenarios
Risks to Price Target / Rating

Risk Reward for Zhengzhou Yutong Bus Co (600066.SS) has been updated

Reason for change

We believe the previous debate around China-EU trade frictions could further push the ultimate implementation the IAA, although the issue was first raised in March 2026. As a result, we revise our forecasts to reflect the potential impact:

- Revenue: We trim our forecasts 1%/5% for 2027/2028, to reflect the impact on exports - modestly in 2027 and a fuller impact coming in 2028. The ultimate magnitude remains dependent on implementation details, including localization requirements;
- GpM: We lower our assumptions by 0.2/0.5ppts for 2027/2028, reflecting the potential impact on Yutong's more profitable EU sales;
- NPAT: Our forecasts are hence lowered 3%/6% for 2027/2028;
- Dividends per share: Our forecasts are lowered by Rmb0.5 for both 2027 (to Rmb2.5) and 2028 (to Rmb3.0), to reflect the potential longer-term capex needs related to oversea localization;
- Our DCF-derived price target is cut by 9% to Rmb36.6, implying 12.9x 2026e PE.

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Asia Summer School 2026

Zhengzhou Yutong Bus Co (600066.SS, 600066 CG)

China Autos & Shared Mobility | China

Stock Rating	Equal-weight
Industry View	In-Line
Price target	Rmb36.60
Shr price, close (Jul 15, 2026)	Rmb29.16
52-Week Range	Rmb38.50-24.92

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	2.5	2.8	3.1	3.4
Prior EPS (Rmb)**	-	-	3.2	3.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Risk Reward – Zhengzhou Yutong Bus Co (600066.SS)

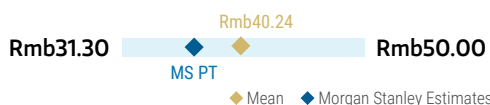
Intact global expansion thesis with decent dividend yield

PRICE TARGET Rmb36.60

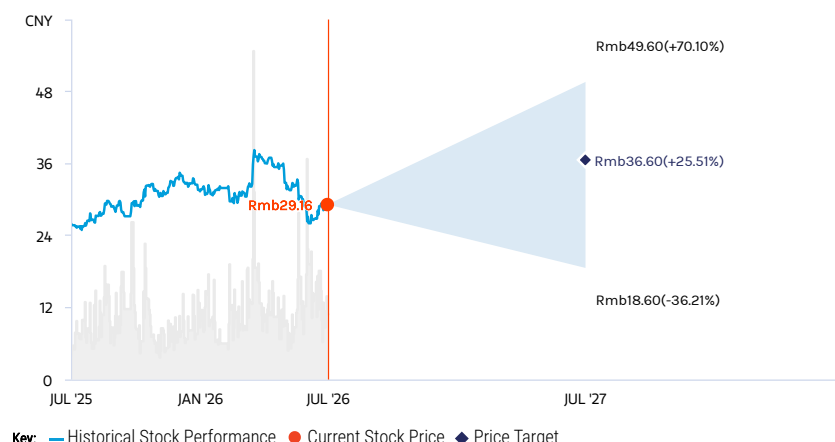
Base case, discounted cash flow model. Key assumptions include: a WACC of 12.5% (beta of 1.3, risk-free rate of 3.3%) and terminal growth of 2%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

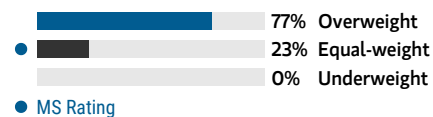


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We regard Yutong as a high-quality company that is well placed to deal with industry headwinds, supported by its growth potential domestically and overseas, as well as its strong balance sheet.
- We see sustainable export growth in 2026-2028, but also some structural changes in domestic demand.
- Valuation seems reasonable to us and reflects the company's growth potential and dividend yield.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*

Pricing Power: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb49.60

17.4x 2026e P/E

We assume more resilient domestic demand, leading to less pricing pressure and relatively stable sales, aided by continued policy stimulus and local government spending. This should help alleviate concerns over pricing competition in the local market. In addition, we expect overseas sales to come in stronger than in our base case, aided by Yutong's progress in emerging regions and its expanded overseas product offering. We expect new energy bus sales to remain strong in DMs, supported by policy.

BASE CASE

Rmb36.60

12.9x 2026e P/E

We assume domestic demand is skewed towards buses vs. coaches, and competition remains severe, with pricing pressure. In addition, we expect overseas sales to remain resilient as Yutong expands its global footprint through its electrification and premiumization strategy, however, we do expect incremental cost incurred in the EU business in the medium to long term after the implementation of the IAA.

BEAR CASE

Rmb18.60

6.5x 2026e P/E

Yutong could become more involved in domestic competition, resulting in weaker profitability and accounts receivable issues. In addition, the company could face more competition overseas, both from global bus makers catching up on eBus products and from exports by domestic competitors.

Risk Reward – Zhengzhou Yutong Bus Co (600066.SS)

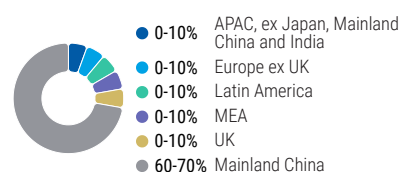
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
BEV	17,917.0	19,708.7	21,679.6	23,197.1
Conventional bus sales volume	31,162.0	30,538.8	31,149.5	32,707.0
GPM - reported (%)	25.2	26.1	26.7	27.0
Domestic sales	32,369.0	30,750.5	29,828.0	28,933.2
Export	17,149.0	19,935.9	23,440.1	27,410.0

INVESTMENT DRIVERS

- Sales of pure electric buses
- Sales of conventional buses
- Overseas sales

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected export margin, aided by the company's premiumization strategy
- A stronger new energy bus transition globally
- Greater-than-expected exports from sales to emerging markets

RISKS TO DOWNSIDE

- Unfavorable sales mix changes, such as towards bus sales domestically
- Competition escalation both in the domestic market and overseas
- Slower overseas growth and profit contribution due to protectionism

OWNERSHIP POSITIONING

Inst. Owners, % Active **94.9%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) **45,270.9**
44,728.3 46,334.9 48,483.8

EBITDA (Rmb, mn) **7,575**
6,330.0 7,382.4 8,480.0

Net income (Rmb, mn) **6,294**
5,315.0 6,118.4 6,737.9

EPS (Rmb) **2.8**
2.4 2.8 3.0

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Zhengzhou Yutong Bus Co (600066.SS) - As of 07/16/26 GMT in CNY
Industry : China Autos & Shared Mobility



Stock Rating History: 7/1/21 : E/C; 9/1/21 : E/A; 8/25/22 : E/I; 9/22/23 : E/I

Price Target History: 4/8/21 : 14; 9/22/23 : 13.7; 1/10/24 : 16.6; 4/15/24 : 25.8; 5/6/24 : 28.7; 9/2/24 : 25.2; 1/13/25 : 26.6; 4/28/25 : 30.2; 9/19/25 : 29.6; 4/29/26 : 40.2

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb22.97
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.84
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$1.96
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.19
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.16
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.16
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb16.78
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb10.95
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb21.15
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.52
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$3.01
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb30.08
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb67.72
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb23.76
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb90.55
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.50
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$1.03
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb24.16
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb53.00
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$51.45
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb85.93
Keboda (603786.SS)	O (01/17/2024)	Rmb41.27
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$27.02
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.23
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$3.83
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb20.95

Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb54.47
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.21
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb67.80
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.31
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb41.83
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.56
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.79
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb94.14
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$86.95
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.47
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.40
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.89
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.79
Hesai Group (HSAI.O)	O (07/28/2025)	US\$15.85
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.42
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.73
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$48.78
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$39.58
NIO Inc. (NIO.N)	O (08/26/2020)	US\$5.03
WeRide Inc (WRD.O)	O (11/19/2024)	US\$6.18
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$52.55
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$13.78

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.